A bigger marketplace

There are around 200 different countries in the world today, and with modern transportation it’s possible to travel to any of them, and communicate with them by phone or via the internet. Businesses producing goods and services for export now have many more potential customers than ever before, in what’s effectively a global marketplace. In the same way that market economies have developed within each country, so too a global market economy is emerging. The idea that a free market, with some government regulation, is the most efficient way of matching the supply and demand of goods and services also applies to globalized trade. Countries trade with one another to their mutual benefit, and competition between them ensures their businesses are productive and prices are fair. But, like any other market, there are in practice some restrictions. Some countries, for example, impose import taxes on certain goods or ban trade with certain countries. Others have joined together to form free trade areas that will trade with each other, but have strict regulations about trading with the rest of the world.